CoreWeave

Debt Concerns Reflect Sentiment Around Timing of Cash Flows, Contrary to Healthy Contract Economics, Returns and Execution Leadership in Scaling

Overweight

CRWV, CRWV US
Price (15 Oct 26):$69.69

Software - Large Cap / Mid & Small Cap

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CoreWeave shares have declined ~20% this week, with the repricing led by concerns around increase in bond yields and compounded likely by Gartner's forecast published this week which expressed concerns around AI revenue required to support healthy returns for NeoClouds, which together are driving investor concerns around overcapacity and the sustainability of debt funding. While we understand that the valuation multiple on CRWV shares is dictated not only by CoreWeave's own fundamentals but also by investor appetite for its datacenter debt more broadly, we believe the current concerns are overdone relative to the fundamentals of the business, on account of: **1) Datacenter demand is robust and has improved in recent months, rather than moderated**, providing limited datapoints to support long-term datacenter demand concerns; **2) Bringing capacity online is materially tougher than the linear progression in relation to conversion of published contracted capacity to active capacity, and CoreWeave's execution leadership on this front** has consistently stood out in our customer conversations; **3) Economics at a project level remain sound with the company positioned to generate both healthy margins and returns on cash flow,** despite initial investment focus driving some temporary margin and cash flow hurdles; **4) Beyond the sound economics on a project for a typical 5-year contract agreement, there is an additional monetization lever in recontracting GPUs beyond the 5-year duration**; and **5) Project level returns (unlevered IRR) exceed cost of capital for the company**, and increases in cost of capital are likely to be embedded into pricing of new projects. While we acknowledge the increase in cost of capital in relation to the recent concerns in the debt market and the rising yields can potentially limit the headroom to generate positive returns, we believe the favorable demand backdrop for compute enables pricing power to pass the cost through to customers and limit change to the fundamentals of the revenue/ profit model.

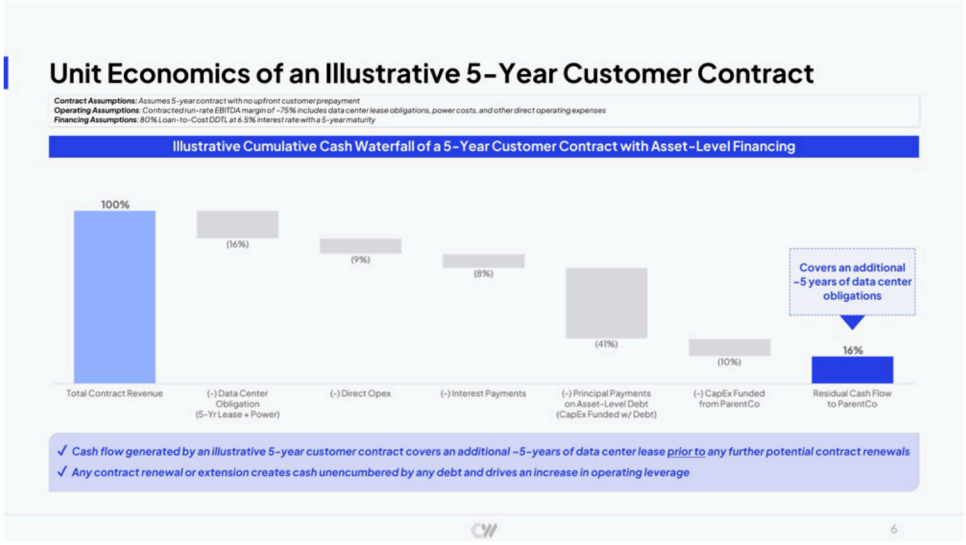
- **Capacity is pre-sold under long-term take-or-pay contracts rather than building for estimated demand.** Gartner's forecast on an industry-level gap between the $8.5T of cumulative revenue it estimates AI data center owners need through 2030 to earn a 12% return on invested capital and the no more than $3.6T of AI revenue it forecasts over the same period, implies risk for capacity brought online ahead of demand rather than for CoreWeave which brings capacity online that has been pre-sold under long-term contracts to customers. Additionally, relative to concerns expressed by Gartner, recent months have showcased an acceleration of compute demand, rather than a deceleration, providing limited datapoints to support concerns around long-term demand. However, in the scenario that investors are concerned about demand durability and ability to lease uncontracted capacity, with more than 2/3rds of a typical datacenter capex attributable to technology and short-lived assets relative to a datacenter shell, the time horizon to throttle capex is short and limits risks around long-term cash outflows.

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- **Overcapacity is less of a concern as active capacity conversion from planned capacity needs strong execution, which puts CoreWeave in a leading position.** As much as it seems simple to linearly project industry capacity from announced plans, bringing capacity online is materially tougher than contracting it, and in our customer conversations CoreWeave remains in a leading position in relation to executing to plans and delivering to timelines. CoreWeave added nearly 500MW in F2Q26 alone to reach 1.5GW of active power, with contracted power at 4.2GW as of Aug 11 relative to the target of at least 8GW by 2030.
- **Contract economics generate residual cash flow to the parent, with GPU useful lives extending the optionality beyond the contract term.** As laid out in the company's illustrative contract cash flow (Figure 1), a 5-year contract with capex of ~51% of total contract value, funded ~80% by asset-level debt, generates residual cash flow to the parent of ~16% of contract value after full repayment of the asset-level debt, sufficient to cover ~5 years of data center obligations even if the capacity is not re-contracted. We view the illustrative economics as conservative, as the useful lives of GPUs are currently extending beyond both the 6-year depreciation schedule and the contract term, as evidenced by observed in-market usage of ~8 years on V100 and ~7 years on T4 and the A100 contract signed into 2029 on a SKU introduced in 2020, positioning CoreWeave to earn cash flow beyond the contract term with only lease and power costs to cover once the asset-level debt is repaid.

Figure 1: Contract Economics



Source: Company presentation

- **Project returns clear the blended cost of capital.** As outlined below in the illustrative IRR calculation, we estimate unlevered contract IRR in the mid-teens range, relative to a blended cost of capital in the range of 9%-11% assuming the vast majority of the capex will be funded by a combination of parent company and asset backed debt, for a typical 5-year contract duration. However, with the likelihood of a contract renewal beyond the initial 5-year duration, the IRR rises to a higher level relative to the mid-teens. Additionally, while we acknowledge the likelihood of an increase in cost of capital with the current concerns in the debt market, we expect the pricing for compute for new capacity to embed the higher cost to keep return fundamentals unchanged for the company.

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Figure 2: Illustrative Project-Level IRR Calculation

Assumptions	
Contract	
TCV	1,000
Contract Term (years)	5
Capex to First Revenue (months)	3
Operating	
Contracted run-rate EBITDA	75%
DC obligation % of Rev	16%
Direct Opex % of Rev	9%
DC Lease Term (years)	5
Capex	
Capex (% of TCV)	51%

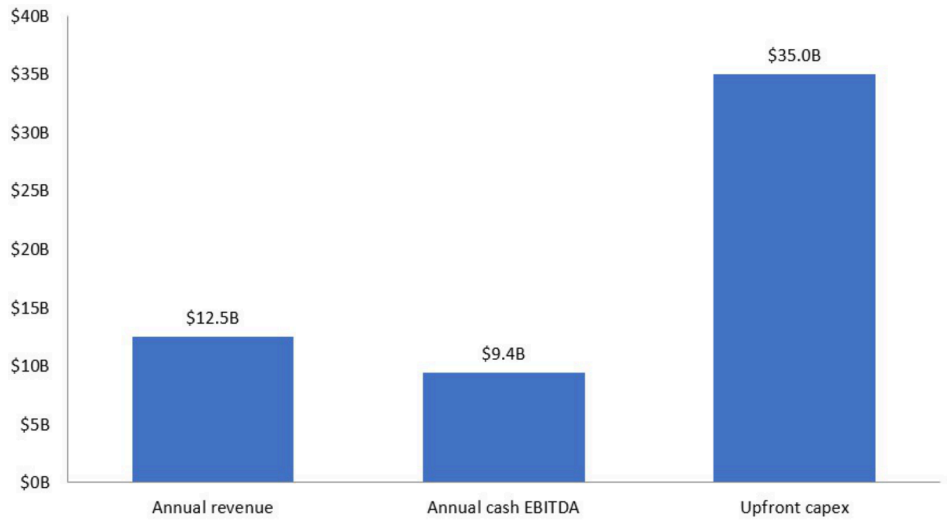
Year	0	1	2	3	4	5
Timing-adj cash flow date (mid-year)	1/1/2026	10/1/2026	10/1/2027	10/1/2028	10/1/2029	10/1/2030
Customer Cash		200	200	200	200	200
DC Obligation		(32)	(32)	(32)	(32)	(32)
Direct Opex		(18)	(18)	(18)	(18)	(18)
Cash EBITDA		150	150	150	150	150
EBITDA Margin		*75%*	*75%*	*75%*	*75%*	*75%*
Capex	(510)					
Cash Flow to Firm	(510)	150	150	150	150	150

IRR (mid-year convention)	16.0%
IRR (end of year convention)	14.4%
Payback Period (years)	3.40

Source: J.P. Morgan, Company presentations

- **Near-term funding needs are high, but more on account of a steep capacity ramp; need scale to generate free cash flow while adding capacity rapidly.** The planned ramp of active capacity from 1.85 GW exiting this year to 8GW in 2030, implies 4x increase in 4 years or adding about 1.5GW each year relative to the current 500MW added in 2025 and 1GW expected to be added in 2026. With simplistic economics of revenue of $10-$15B per GW annually once a project is fully ramped and $35B+ of capex per GW in the ramp year for a project, the company needs the installed base of stabilized projects to be 4-5x the capacity being ramped in a year to start generating cash after covering for the capex directed towards new capacity. The above economics, also shown in Figure 4 below, outlines that the cash burn is not a function of unfavorable economics per project but more on account of the capacity being ramped each year relative to the installed active capacity at this time.

Figure 3: Illustrative Per-GW Economics



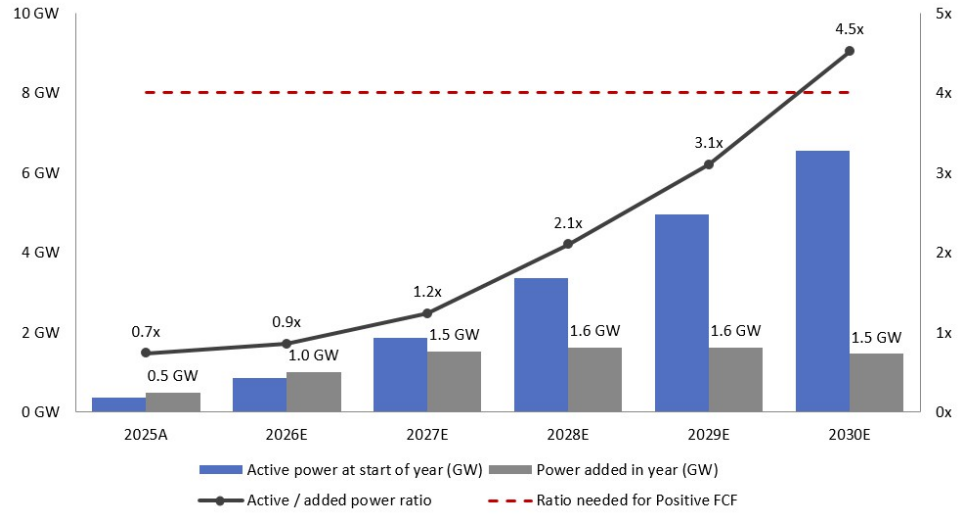
Note: Revenue at midpoint of $10-15B/GW, cash EBITDA at ~75% contract level margin
Source: J.P. Morgan, Company reports

As shown in the figure below, active power at the start of the year relative to the power added in the year is currently running at roughly 1:1, with CoreWeave entering 2026 with ~0.85GW of active power against ~1GW expected to be added through the year, and the ratio remaining close to that level at ~1.2x in 2027E as the company adds ~1.5GW annually on the path to its 8GW target. In our view, this ratio needs to be ~4-5x for the cash EBITDA generated by the installed base, at a ~75% EBITDA margin on $10-15B of annual revenue per GW, to cover the ~$35B of capex per GW directed towards new capacity, which on our illustrative ramp is reached only in 2030E at ~4.5x. As such, we view the current cash burn as a function of the pace of the capacity ramp relative to the installed base, with the timing of FCF generation

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largely remediated as CoreWeave scales.

Figure 4: Active Power at Start of Year vs. Power Added in a Year



Source: J.P. Morgan, Company reports

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CoreWeave (CRWV, CRWV US) Price Chart



Date	Rating	Price ($)	Price Target ($)
22-Apr-25	OW	35.42	43
15-May-25	OW	67.46	66
10-Aug-25	OW	129.55	135
11-Nov-25	N	105.61	110
27-Feb-26	N	97.63	90
08-May-26	N	128.84	105
11-Aug-26	N	88.19	110
11-Aug-26	N	88.19	120
24-Sep-26	OW	86.90	125

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
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Completed 16 Oct 2026 12:51 AM EDT

Disseminated 16 Oct 2026 05:00 AM EDT